

Financial Statements

For the Fiscal Year
ended March 31, 2026



Management's Responsibility and Certification

Management is responsible for the integrity, consistency and reliability of the financial statements and other information presented in the annual report. The financial statements have been prepared by Management in accordance with International Financial Reporting Standards.

We certify that we have reviewed the financial statements and other information contained in the annual report, and, based on our knowledge, they do not contain any untrue statement of a material fact or omit to state a material fact required to be stated or that is necessary to make a statement not misleading in light of the circumstances under which it was made, with respect to the period covered by the statements and the annual report.

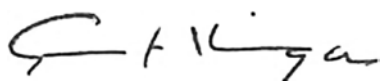
Based on our knowledge, the financial statements together with other financial information included in the annual report fairly present in all material respects the financial condition, results of operations and cash flows of the Ontario Securities Commission (the "OSC") as of the dates and for the periods presented. The preparation of financial statements involves transactions affecting the current period which cannot be finalized with certainty until future periods. Judgments and estimates have been used where necessary to make estimates required to ensure fair and consistent presentation of the financial statements.

We are responsible for establishing and maintaining internal control over financial reporting for the OSC. We have designed such internal control over financial reporting, or caused it to be designed under our supervision, to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with Canadian generally accepted accounting principles which incorporates International Financial Reporting Standards, as issued by the International Accounting Standards Board ("IFRS Accounting Standards").

We evaluated, or caused to be evaluated under our supervision, the effectiveness of the OSC's internal control over financial reporting at the financial year-end, and the OSC has disclosed in its annual MD&A our conclusion about the effectiveness of internal control over financial reporting at the financial year-end based on that evaluation.

We have also disclosed in the MD&A any change in our internal control over financial reporting that occurred during the year that has materially affected, or is reasonably likely to materially affect, our internal control over financial reporting.

The Board of Directors ensures that management fulfills its responsibility for financial reporting and internal controls. The financial statements have been reviewed by the Audit and Finance Committee and approved by the Board of Directors. The financial statements have been audited by the Office of the Auditor General of Ontario. The auditors have access to the Audit and Finance Committee, with and without the presence of management. The Auditor General's Report, which follows, outlines the scope of the auditor's examination and opinion on the financial statements.



Grant Vingoe
Chief Executive Officer



Mary Campione
Chief Financial Officer and
Senior Vice-President, Finance & Administration

June 25, 2026

INDEPENDENT AUDITOR'S REPORT

To the Ontario Securities Commission

Opinion

I have audited the financial statements of the Ontario Securities Commission (OSC), which comprise the statement of financial position as at March 31, 2026, and the statements of comprehensive income (loss), changes in surplus and cash flows for the year then ended, and notes to the financial statements, including material accounting policy information.

In my opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the OSC as at March 31, 2026, and its financial performance and its cash flows for the year then ended in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board (IASB).

Basis for Opinion

I conducted my audit in accordance with Canadian generally accepted auditing standards. My responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of my report. I am independent of the OSC in accordance with the ethical requirements that are relevant to my audit of the financial statements in Canada, and I have fulfilled my other ethical responsibilities in accordance with these requirements. I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my opinion.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with IFRS Accounting Standards as issued by the IASB, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the OSC's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the OSC either intends to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the OSC's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

My objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes my opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with Canadian generally accepted auditing standards will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with Canadian generally accepted auditing standards, I exercise professional judgment and maintain professional skepticism throughout the audit. I also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for my opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the OSC's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the OSC's ability to continue as a going concern. If I conclude that a material uncertainty exists, I am required to draw attention in my auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify my opinion. My conclusions are based on the audit evidence obtained up to the date of my auditor's report. However, future events or conditions may cause the OSC to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

I communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that I identify during my audit.



Shelley Spence, FCPA, FCA, LPA
Auditor General

Toronto, Ontario
June 25, 2026

Statement of Financial Position

(in thousands of dollars)

As at March 31, 2026

	Note(s)	2026	2025 (Restated)
ASSETS			
Current			
Cash		\$ 154,909	\$ 142,107
Restricted cash pursuant to settlements and sanction orders	5	108,837	112,602
Trade and other receivables	4, 6	3,114	4,196
Prepayments		6,967	5,869
Total current		\$ 273,827	\$ 264,774
Non-current			
Funds restricted for CSA systems operations and redevelopment	7, 17	\$ 21,411	\$ 29,689
Right of use assets	8	30,763	33,323
Property, plant and equipment	9	4,597	5,238
Intangible assets	10	11,857	19,343
Total non-current		\$ 68,628	\$ 87,593
Total assets		\$ 342,455	\$ 352,367
LIABILITIES			
Current			
Trade and other payables	11	\$ 31,228	\$ 28,384
Lease liabilities	8	2,560	2,445
Deferred income pursuant to settlements and sanction orders	5	109,273	113,215
Total current		\$ 143,061	\$ 144,044
Non-current			
Lease liabilities	8	\$ 32,364	\$ 34,799
Pension liabilities	12(b)	4,504	4,598
Funds restricted for CSA systems operations and redevelopment	7, 17	21,411	29,689
Total non-current		\$ 58,279	\$ 69,086
Total liabilities		\$ 201,340	\$ 213,130
SURPLUS			
General		\$ 141,115	\$ 139,237
Operating surplus		\$ 141,115	\$ 139,237
Total liabilities and surplus		\$ 342,455	\$ 352,367

The accompanying notes are an integral part of these financial statements.

On behalf of the Board of the Commission,


Kevan Cowan
Chair


Hari Panday
Chair, Audit and Finance Committee

Statement of Comprehensive Income (Loss)

(in thousands of dollars)

For the year ended March 31, 2026	Note(s)	2026	2025
REVENUE			
Fees	14	\$ 179,796	\$ 169,461
Interest income		3,241	4,979
Miscellaneous income		1,877	391
		\$ 184,914	\$ 174,831
EXPENSES			
Salaries and benefits	15	\$ 139,274	\$ 139,270
Administrative	16	18,299	17,570
Professional services		13,464	13,050
Occupancy		4,936	4,848
Amortization	10	9,813	7,518
Depreciation	8, 9	4,027	4,709
Finance costs	8	1,251	1,330
Travel and conferences		837	701
		\$ 191,901	\$ 188,996
Distributions and cost recoveries pursuant to securities legislation			
Third party distributions	19	\$ 3,207	\$ 10,209
Recoveries of enforcement costs		(430)	(273)
Recoveries of OSC costs	20	(8,224)	(7,062)
Recoveries of third party distributions	19	(3,207)	(10,209)
		\$ 183,247	\$ 181,661
Excess (Deficiency) of revenue over expenses		\$ 1,667	\$ (6,830)
OTHER COMPREHENSIVE INCOME (LOSS)			
Items that will not be reclassified subsequently to income (loss)			
Remeasurements gains / (losses) of defined benefit pension plans	12(b)	\$ 211	\$ (214)
Total other comprehensive income (loss)		\$ 211	\$ (214)
Total comprehensive income (loss)		\$ 1,878	\$ (7,044)

The accompanying notes are an integral part of these financial statements.

Statement of Changes in Surplus

(in thousands of dollars)

For the year ended March 31, 2026	Note(s)	2026	2025
Operating surplus, beginning of year		\$ 139,237	\$ 146,281
Total comprehensive income (loss)		1,878	(7,044)
Operating surplus, end of year		\$ 141,115	\$ 139,237

The accompanying notes are an integral part of these financial statements.

Statement of Cash Flows

(in thousands of dollars)

For the year ended March 31, 2026	Note(s)	2026	2025 (Restated)
CASH FLOWS FROM (USED IN) OPERATING ACTIVITIES			
Excess (Deficiency) of revenues over expenses		\$ 1,667	\$ (6,830)
Adjusted for:			
Interest received		3,295	5,229
Interest income		(3,241)	(4,979)
Pension liabilities		118	92
Loss on disposal of property, plant and equipment	9	370	18
Depreciation of right of use asset	8	2,715	2,791
Depreciation of property, plant and equipment	9	1,312	1,918
Amortization	10	9,813	7,518
Unrealized (gain) loss on currency revaluation		(3)	3
		\$ 16,046	\$ 5,760
Changes in non-cash working capital			
Decrease in trade and other receivables		\$ 851	\$ 7
(Increase) in prepayments		(1,098)	(383)
Increase (decrease) in trade and other payables		2,460	(1,105)
		\$ 2,213	\$ (1,481)
Cash flows from (used in) restricted activities			
Restricted cash payments per s.19(2) of the SCA		\$ (11,431)	\$ (17,449)
Restricted cash receipts per s.19(2) of the SCA		4,369	2,581
Interest received on restricted cash		3,297	5,614
		\$ (3,765)	\$ (9,254)
Net cash flows from (used in) operating activities		\$ 14,494	\$ (4,975)
CASH FLOWS USED IN INVESTING ACTIVITIES			
Purchase of intangible assets	10	\$ (2,136)	\$ (3,430)
Purchase of property, plant and equipment	9	(847)	(783)
Net cash used in investing activities		\$ (2,983)	\$ (4,213)
CASH FLOWS USED IN FINANCING ACTIVITIES			
Principal payments on lease liabilities	8	\$ (2,474)	\$ (2,465)
Net cash flows used in financing activities		\$ (2,474)	\$ (2,465)
Net increase (decrease) in cash position		\$ 9,037	\$ (11,653)
Cash, beginning of year		254,709	266,362
Cash, end of year		\$ 263,746	\$ 254,709
Cash		154,909	142,107
Restricted cash pursuant to settlements and sanction orders		108,837	112,602
SUPPLEMENTAL CASH FLOW INFORMATION			
Finance costs paid		\$ 1,251	\$ 1,330
Property, plant and equipment and intangible assets funded by trade and other payables		385	1,286

The accompanying notes are an integral part of these financial statements.

Notes to the Financial Statements

1. Reporting Entity

The Ontario Securities Commission (the OSC, or the Commission) is a corporation domiciled in Ontario. The address of the OSC's registered office is 20 Queen Street West, Toronto, Ontario, M5H 3S8. The OSC is a corporation without share capital incorporated under the *Securities Act*, R.S.O. 1990, c. S.5. The OSC is the regulatory body responsible for regulating the province's capital markets pursuant to the *Securities Commission Act, 2021* (SCA). The OSC exercises its regulatory oversight function through the administration and enforcement of Ontario's *Securities Act* and *Commodity Futures Act* and administration of certain provisions of Ontario's *Business Corporations Act*. As a Crown corporation, the OSC is exempt from income taxes.

2. Basis of Presentation

(a) Statement of compliance

These financial statements are prepared in accordance with International Financial Reporting Standards (IFRS) as issued by the International Accounting Standards Board (IASB). These financial statements are as at March 31, 2026 for the year then ended and include comparatives. These financial statements were authorized for issue by the Board of Directors on June 25, 2026.

(b) Functional and presentation currency

These financial statements are presented in Canadian dollars, which is the OSC's functional currency. Amounts have been rounded to the nearest thousand.

(c) Change in Accounting Policy for classification of cash reserves

During the year, OSC reassessed the classification of reserve funds previously presented as non-current assets. As part of the approval of its self-funded status, the OSC was allowed to establish a \$20.0 million reserve to be used as an operating contingency against shortfalls and unanticipated costs, to cover the discrepancy between timing of revenue and expenses. Although the underlying intent of maintaining an operating contingency reserve remains unchanged, management determined that classification should reflect the nature and availability of the asset rather than its intended use. As these reserves are not subject to restrictions and are available for use within the next 12 months, classification as current asset is more appropriate. As a result of the reclassification, the reserve is now included within cash for presentation purposes. This change in accounting policy has been accounted retrospectively. The impact of the reclassification is as follows:

- The Statement of Financial Position reflects an increase in cash, presented as current asset: \$20.0 million.
- The Statement of Financial Position reflects a decrease in reserve funds, previously presented as non-current asset: \$20.0 million.

- The reserve of \$20.0 million previously presented separately will now be combined with general surplus within the Statement of Financial Position and Statement of Changes in Surplus.
- Both the beginning and ending cash balances within the Statement of Cash Flows will increase by \$20 million.

There is no impact on total assets, liabilities, surplus, or total comprehensive income (loss).

(d) Use of judgements and sources of estimation uncertainty

(i) Judgements

The preparation of financial statements in accordance with IFRS requires that management make judgements in applying accounting policies that can affect the reported amounts of assets and liabilities as at the date of the financial statements, as well as the reported amounts of revenue and expenses for the period.

The following are the judgements in applying accounting policies, apart from those involving estimates, that have the most significant effect on the amounts recognized in the financial statements.

Lease accounting

In determining the lease liabilities and corresponding right of use assets, significant judgement is required in determining that a premise lease exists and the corresponding lease term.

With the introduction of the Centralization of Broader Real Estate Authority (CBREA) legislative amendments on April 1, 2024, the OSC's premise lease was assigned to the Ministry of Infrastructure (MOI). In considering the terms and conditions of the legislative amendments and the corresponding arrangement with the MOI, the OSC exercised significant judgement to determine that the arrangement with the MOI contains a premise lease.

The lease term is defined as the non-cancellable period of a lease, together with both periods covered by an option to extend the lease if the lessee is reasonably certain to exercise that option and periods covered by an option to terminate the lease if the lessee is reasonably certain not to exercise that option.

The OSC exercised significant judgement in determining the lease term, particularly the premise lease, by considering all facts and circumstances that create an economic incentive to exercise a renewal option or to not exercise a termination option including investments in major leaseholds, past practice, location suitability, and the length of time remaining before the option is exercisable.

Revenue recognition

The OSC exercised significant judgement in determining whether participation fees and certain other fees are within the scope of IFRS 15. Accordingly, judgement was applied in accordance with IAS 8 to develop and apply an accounting policy that results in information that is relevant and reliable. In developing this accounting policy, OSC considered the requirements and guidance in IFRS 15, by analogy, as these fees do not arise from contracts with customers as specifically contemplated in IFRS 15.

Significant judgement is required to determine the nature and extent of the OSC's performance obligations arising from participation fees and determining the timing of the transfer of control – at a point in time or over time. OSC recognizes revenue when (or as) the organization satisfies a performance obligation by transferring the promised service to the market participant. This transfer happens when the market participant obtains control of the service.

Recoveries of OSC costs and third party distributions pursuant to section 19(2) of the SCA

The *Securities Commission Act, 2021* (SCA) permits funds from settlements and sanction orders to be used in accordance with section 19(2), as follows:

- (i) to or for the benefit of third parties,
- (ii) for use by the Commission or third parties for the purpose of educating investors or promoting or otherwise enhancing knowledge and information of persons regarding the operation of the securities and financial markets, or
- (iii) for any other purpose specified in the regulations.

As of February 5, 2024, two additional authorized purposes came into force through regulation. The first purpose includes use by the Commission to fund activities of the Office of Economic Growth and Innovation that are aimed at fostering innovation, capital formation and competition in Ontario's capital markets ("Office of Economic Growth and Innovation costs"). The second purpose includes use by the Commission to enhance its capabilities in information technology, data acquisition and data analytics to address regulatory matters relating to investor protection and the reduction of systemic risk or the integrity of the capital markets ("technology and data capability costs") other than ongoing operating costs of the Commission.

The OSC has guidelines in place to determine which costs are in accordance with section 19(2) of the SCA. The OSC exercised judgement in evaluating which costs would be recoverable in accordance with section 19(2) of the SCA. See Note 20 for a summary of costs recovered.

Funds restricted for Canadian Securities Administrators (CSA) Systems operations and redevelopment (Funds Restricted for CSA Systems)

The OSC was appointed the Designated Principal Administrator – Operations (DPA) to administer the financial management processes of the CSA Systems net assets and act as custodian over any surplus funds. The use of the CSA Systems surplus funds is governed by the four Principal Administrators (PAs), each having one vote on the CSA Systems matters. The four PAs are the OSC, British Columbia Securities Commission (BCSC), Alberta Securities Commission (ASC) and l'Autorité des marchés financiers (AMF).

Based on an evaluation of the contractual terms and conditions related to the arrangement, OSC management has exercised significant judgement to determine that participants in the capital markets, rather than the OSC (or other CSA members), obtain the benefit or rewards from the restricted funds or any future development of the CSA Systems. The OSC does not control or have significant influence over how the restricted funds are managed in performing its custodial role for the CSA Systems.

See Note 7 for more information, including summary financial information related to CSA systems operations and redevelopment.

(ii) Sources of estimation uncertainty

The preparation of financial statements in accordance with IFRS requires management to make assumptions about the future and other sources of estimation uncertainty that have a significant risk of affecting the carrying amounts of assets and liabilities within the next fiscal year.

Determining the carrying amounts of some assets and liabilities requires management to estimate the effects of uncertain future events on those assets and liabilities at the end of the reporting period. Actual amounts can differ from these estimates to the extent future outcomes differ significantly from management's estimations. Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimates are revised and in any future periods affected.

The following are the key assumptions and other major sources of estimation uncertainty that have a significant risk of resulting in a material adjustment within the next financial year.

Leases

In determining the carrying amount of right of use assets and lease liabilities, the OSC is required to estimate the incremental borrowing rate specific to each leased asset if the interest rate implicit in the lease is not readily determined. The OSC determines the incremental borrowing rate using a prime rate with an adjustment that reflects, among other things, the OSC's credit rating, lease term, value of the underlying leased asset, and the economic environment in Ontario.

Supplemental pension plan

Supplemental pension plan liabilities represent the estimated present value of the OSC's obligation for future payments as at the fiscal year end. The OSC utilizes an independent actuarial expert to determine the present value of the defined benefit obligation of the supplemental pension plan and related impact to the Statement of Comprehensive Income (Loss) and Other comprehensive income (OCI).

In some cases, this determination will involve management's best estimates and information from other accredited sources. A change in one or more of these assumptions could have a material impact on the OSC's financial statements.

The significant actuarial assumptions used to determine the present values of the defined benefit obligations and sensitivity analysis of changes in the actuarial assumptions used are outlined in Note 12(b).

Trade and other receivables – settlements and sanction orders and recoveries of enforcement costs

Trade and other receivables for settlements and sanction orders and recoveries of enforcement costs are recorded when settlements are approved or orders are made by the Commission, unless management determines that collecting the settlement and order is significantly doubtful, in which case it is recognized when payment is received. Estimation is required to determine the collectible amount of monetary sanctions and recoveries of enforcement costs.

Management considers the respondent's ability to pay the sanction amount, the ability to locate the respondent and whether the respondent owns any assets. Assets and liabilities will change based on estimated amounts of settlements and sanction orders deemed to be collectible. Expenses may change based on recoveries of enforcement costs. For more information on restricted cash pursuant to settlements and sanction orders, see Note 5.

Allowance for credit losses

The determination of the OSC's expected credit losses for trade receivables depends on several highly related variables and is subject to estimation uncertainty. In determining expected credit losses, the OSC considers historical data, existing market conditions, and forward-looking information to determine, among other things, expected loss rates. The OSC must rely on estimates and exercise judgement regarding circumstances that may cause future assessments of expected credit losses to be materially different from current assessments, which could require an increase or decrease in the allowance for credit losses.

Trade and other receivables are subject to measurement uncertainty due to the credit risk of debtors. See Note 6 for further detail on the trade, other and sanction and settlement order receivables.

3. Material Accounting Policies

The accounting policies set out below have been applied consistently to all periods presented in these financial statements. See Note 21 for discussion related to accounting standards, interpretations and amendments that became effective in the year.

(a) Financial instruments

Trade and other receivables issued are initially recognized when they are originated. All other financial assets and financial liabilities are initially recognized when the OSC becomes a party to the contractual provisions of the instrument. Financial assets and financial liabilities are initially measured at fair value, plus or minus transaction costs that are directly attributable to their acquisition. The measurement of financial instruments in subsequent periods and the recognition of changes in the fair value depend on the category in which they are classified. All financial assets and financial liabilities are categorized and subsequently measured at amortized cost as noted in the table below.

Financial Assets	Measurement category under IFRS 9
Cash	Amortized Cost
Restricted cash pursuant to settlements and sanction orders	Amortized Cost
Trade and other receivables	Amortized Cost
Funds restricted for CSA systems operations and redevelopment	Amortized Cost
Financial Liabilities	
Trade and other payables	Amortized Cost
Lease liabilities	Amortized Cost
Deferred income pursuant to settlements and sanction orders	Amortized Cost
Funds restricted for CSA systems operations and redevelopment	Amortized Cost

Classification of financial assets depends on the business model for managing the financial asset and the contractual cash flow characteristics of the financial asset. A financial asset is subsequently measured at amortized cost if both of the following conditions are met.

- The financial asset is held within a business model whose objective is to hold financial assets in order to collect contractual cash flows.
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Currently, OSC's financial assets meet the conditions for subsequent measurement at amortized cost. Gains or losses on disposal and impairment losses are recorded in the Statement of Comprehensive Income (Loss). Premiums, discounts and transaction costs are amortized over the term of the instrument on an effective yield basis as an adjustment to interest income. Financial assets are

derecognized when the contractual rights to the cash flows from the financial assets expire or when the contractual rights to receive the cash flows of the financial asset are transferred. A financial liability is derecognized when it is extinguished; that is, when the contractual obligation is discharged, cancelled or expires.

The OSC recognizes an allowance for expected credit losses for all financial assets not held at fair value through profit and loss. Expected credit losses are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the OSC expects to receive, discounted at an approximation of the original effective interest rate.

In relation to trade receivables, the OSC measures expected credit losses for trade receivables by establishing a provision based on aging at year end through the application of a provision matrix. The provision matrix is based on historically observed default rates over the expected life of the trade receivables, adjusted for forward looking estimates.

The carrying amount of trade receivables is reduced through the use of an allowance account and the expected credit loss is recognized in the Statement of Comprehensive Income (Loss).

The gross carrying amount of a trade receivable is written off to the extent there is no reasonable prospect of recovery. Indicators that there is no reasonable expectation of recovery include, amongst others, insolvency of the debtor and the exhaustion of reasonable collection efforts.

(b) Property, plant and equipment

Items of property, plant and equipment are recorded at cost less accumulated depreciation and impairment losses. Cost includes expenditures that are directly attributable to the acquisition of the asset.

The cost of property, plant and equipment, less any residual value, is depreciated and recognized in excess of revenues over expenses on a straight-line basis over the estimated useful life of the asset, as follows:

Network and computer equipment	3 to 5 years
Office furniture and equipment	5 to 10 years
Leasehold improvements	Lesser of lease term and useful life of asset

The estimated useful lives, residual values and depreciation method are reviewed at the end of each fiscal year. Any changes in estimates are accounted for on a prospective basis.

An item of property, plant and equipment is derecognized upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. Any gain or loss arising from the disposal or retirement of an item of property, plant and equipment is determined as the difference between the net disposal proceeds and the carrying amount of the asset and is recognized in excess of revenue over expenses.

Items of property, plant and equipment are reviewed for impairment at each reporting date. If any impairment is indicated, the asset's recoverable amount is estimated. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use. An impairment loss is recognized for the amount by which the asset's carrying amount exceeds its recoverable amount.

(c) Intangible assets

Intangible assets represent identifiable non-monetary assets and are acquired either separately or internally generated. The OSC's intangible assets consist primarily of software enhancement and development and purchased software.

Development costs that are directly attributable to internally developed software are recognized as intangible assets when the following criteria are met:

- it is technically feasible to complete the software so that it will be available for use;
- management intends to complete the software and use it;
- there is an ability to use the software;
- it can be demonstrated how the software will generate probable future economic benefits;
- adequate technical, financial and other resources to complete the development and to use the software are available; and
- the expenditures attributable to the software during its development can be reliably measured.

For internally generated intangible assets, cost includes all directly attributable costs necessary to create, produce, and prepare the asset to be capable of operating in the manner intended by management. Spend on certain technology related intangible assets are eligible for recovery from settlements and sanction funds pursuant to section 19(2) of the SCA. See Note 3(i) for more details.

Subsequent expenditures on a specific intangible asset are capitalized only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditures, including maintenance, are recognized in profit or loss as incurred. Research expenditures and certain development expenditures that do not meet the criteria for capitalization above are recognized as an expense as incurred.

For purchased software, the cost of separately acquired intangible assets includes its purchase price and directly attributable costs of preparing the asset for its intended use.

For software enhancement and development, amortization of an intangible asset begins when development is complete, and the asset is available for use. After initial recognition, an intangible asset is carried at its cost less any accumulated amortization and accumulated impairment losses. Amortization expense is included in the Statement of Comprehensive Income (Loss). Intangible assets are amortized using the straight-line method over the following periods:

Software enhancement and development	1 to 10 years
Purchased software	3 years

Amortization methods, useful lives and residual values are reviewed at the end of each fiscal year and adjusted if appropriate, with the effect of any changes in estimate being accounted for on a prospective basis. Intangible assets with finite lives are assessed for impairment whenever there is an indication that the intangible asset may be impaired. Intangible assets not yet available for use are tested for impairment annually and whenever there is an indication that the asset may be impaired.

The OSC's software enhancement and development assets do not generate largely independent cash inflows on a standalone basis, as they support delivery of the OSC's broader regulatory mandate rather than producing discrete cash inflow streams as considered in IAS 36. If any impairment is indicated, the intangible asset's recoverable amount is estimated. The recoverable amount is the higher of an

intangible asset's fair value less costs to sell and value in use. An impairment loss is recognized for the amount by which the intangible asset's carrying amount exceeds its recoverable amount. An impairment loss is recognized on the Statement of Comprehensive Income (Loss) in the period in which the impairment is identified.

Impairment losses previously recognized are assessed and reversed if the circumstances leading to the impairment are no longer present. Reversal of any impairment loss will not exceed the carrying amount of the intangible asset that would have been determined had no impairment loss been recognized for the asset in prior periods.

(d) Revenue recognition

IFRS 15 sets out the principles for when revenue should be recognized and how it should be measured, together with related disclosures.

Participation fees

Participation fees are recognized when the OSC has permitted (or not restricted) market participant or derivatives reporting counterparty access to the Ontario capital markets. Typically, this occurs at a point-in-time when both the access is granted (or not restricted) and the associated fees are received.

These fees represent the payment for the right to participate in the Ontario capital markets. The OSC has no specific obligations throughout the year to any individual market participant or derivatives reporting counterparty. As such, the OSC's performance consists of a single act, which is provision of access. Once the access is provided (or not restricted), the OSC has the right to the stipulated participation fees, there is no obligation to refund the fees, the market participant or derivatives reporting counterparty has the legal right to access and participate in the capital market including the risks and rewards associated with such participation and there are no unfulfilled conditions on behalf of the OSC to the market participant or derivatives reporting counterparty.

Activity fees

Activity fees represent the flat-rate charged for direct cost of OSC staff resources expended in undertaking certain activities requested of staff by market participants. Activity fees are recognized when the filing is received, as the activities undertaken are normally completed in a relatively short period of time.

Late filing fees

Late fees may apply if certain documents that are required to be filed under Ontario Securities law are not filed on time. Additional fees may be charged for payments made past the required due date. Revenue from late fees is recognized when the respective document is filed or the corresponding outstanding fee is paid. In addition, the transaction price is measured as the amount of the fee.

(e) Deferred income pursuant to settlements and sanction orders

Deferred income pursuant to settlements and sanction orders is recorded when settlements and sanction orders are imposed or approved by the Capital Markets Tribunal, unless management determines that collecting the sanction or settlement is significantly doubtful, in which case it is recognized when payment is received. Due to the restricted use of funds held from settlements and sanction orders, income is deferred until the eligible expense is recognized within the Statement of Comprehensive Income (Loss).

(f) Employee benefits

Public Service Pension Plan (PSPP)

The OSC provides pension benefits to its full-time employees through participation in the PSPP. The Province of Ontario is the sole sponsor of the PSPP. This plan is accounted for as a defined contribution plan because sufficient information is not provided to the OSC or otherwise available for the OSC to apply defined benefit plan accounting to this pension plan.

The plan sponsor is responsible for ensuring that the pension funds are financially viable. Any surpluses or unfunded liabilities arising from statutory actuarial funding valuations are not assets or obligations of the OSC. The OSC is not exposed to any liability to the plan for other entities' obligations under the terms and conditions of the plan.

In addition, there is no agreed allocation of a deficit or surplus on wind-up or withdrawal by the OSC from the plan. Payments made to the plan are recognized as an expense when employees have rendered the service entitling them to the benefit. For more information on the PSPP, see Note 12(a).

Supplemental pension plan

The OSC also maintains unfunded supplemental pension plans for full-time appointees comprised of its current Chief Executive Officer and Chief Adjudicator, and former Chairs, and Vice-Chairs as described in Note 12(b). These plans are final salary pension plans, which provide benefits to members in the form of a guaranteed level of pension payable for life. The level of the target benefits provided depends on the member's length of service and their salary in the final years prior to retirement. In some plans, the target benefits are indexed with inflation. The target benefits are then offset by the benefits payable from the PSPP (registered and supplemental plans), which are linked to inflation.

The pension liabilities recognized in the Statement of Financial Position for the supplemental pension plans is the present value of the defined benefit obligation at the reporting date.

Actuarial gains and actuarial losses resulting from remeasurements of the net defined benefit liability arising from the supplemental pension plans are recognized immediately in the Statement of Financial Position with a corresponding increase or decrease through OCI in the period in which they occur. Remeasurements are not reclassified to excess of revenues over expenses in subsequent periods.

Other post-employment obligations

The costs of non-pension benefits for eligible pensioners are paid by the Government of Ontario and are not included in the Statement of Comprehensive Income (Loss), as described in Note 18(b).

Termination benefits

Termination benefits are generally payable when employment is terminated before the normal retirement date or when an employee accepts voluntary redundancy in exchange for these benefits. The OSC recognizes a liability and an expense for termination benefits at the earlier of the date the OSC has demonstrably committed to either terminating the employment of current employees according to a detailed formal plan without a realistic possibility of withdrawal or when the OSC has recognized costs for providing termination benefits as a result of a restructuring involving a fundamental reorganization that has a material effect on the nature and focus of OSC operations.

Short-term benefits

Short-term employee benefits, such as salaries, pension contributions, paid annual leaves and bonuses, are measured on an undiscounted basis and are expensed as the related service is provided to the OSC.

(g) Leases

A contract is or contains a lease if it conveys the right to control the use of an identified asset for a specified period in exchange for consideration. When the OSC leases assets from other parties, the OSC is the lessee. When the OSC leases or subleases assets to other parties, the OSC is the lessor.

Lessee accounting

At the lease commencement date, a lease liability and right of use asset are recognized on the Statement of Financial Position for the leased asset. These two amounts are determined as follows:

- a) Lease liability – the present value of fixed payments from commencement date, variable payments that depend on an index or a rate, exercise price of a purchase option (if the lessee is reasonably certain to exercise that purchase option), payments for penalties for terminating a lease (if the lease term reflects the lessee exercising an option to terminate the lease), and amounts expected to be payable by the lessee under residual value guarantees.
- b) Right of use asset – the sum of the initial lease liability, initial indirect costs and expected restoration costs, and lease payments made at or prior to commencement, less any lease incentives received.

In determining the carrying amount of lease liabilities and right of use assets, the lessee is required to use the incremental borrowing rate specific to each leased asset, if the interest rate implicit in the lease is not readily determined.

Most of the OSC's leases are comprised of premise leases, for which fixed payments covering lease components are included in the value of the right of use assets and lease liabilities. As lease payments are made and the leases elapse, lease liabilities are reduced by the principal portion of payments, finance costs are recognized for the interest portion of payments, and the right of use assets are depreciated. Depreciation and finance costs are recognized in the Statement of Comprehensive Income (Loss).

For non-lease component payments (i.e. common area maintenance), amounts are recognized within occupancy costs in the Statement of Comprehensive Income (Loss) and are not recognized in the Statement of Financial Position.

Payments for short-term leases (12 months or less and do not have a purchase option) and low-value leases are recognized on a straight-line basis within occupancy costs in the Statement of Comprehensive Income (Loss) and are not recognized in the Statement of Financial Position.

(h) Third party distributions pursuant to section 19(2) of the SCA

The SCA permits distributions from restricted cash from settlements and sanction orders to the benefit of third parties as per section 19(2). Distributions include funds paid for the purposes of carrying out distributions to harmed investors, whistleblowers who meet the requirements set out in OSC Policy 15-601 Whistleblower Program, and other third parties who undertake initiatives that further the purposes of the *Ontario Securities Act* or the *Commodity Futures Act*. These costs are recovered from restricted cash pursuant to settlements and sanction orders and are recognized as an expense when the obligation for payment is met.

(i) Recoveries

Recoveries of enforcement costs

Recoveries of enforcement costs are recognized on the date a settlement is approved or an order is issued by the OSC, unless management determines that collecting the settlement amount is significantly doubtful, in which case, recovery is recognized when payment is received.

Recoveries of third party payments pursuant to section 19(2) of the SCA

Recoveries of third party costs are from amounts paid for the purposes of carrying out distributions to harmed investors, whistleblowers who meet the requirements set out in OSC Policy 15-601 Whistleblower Program, and other third parties who undertake initiatives that further the purposes of the *Ontario Securities Act* or *Commodity Futures Act*. Cost recoveries for third party payments are recognized when the associated eligible costs are incurred.

Recoveries of OSC costs pursuant to section 19(2) of the SCA

The OSC is permitted to recover costs from settlement and sanction funds in accordance with specific statutory constraints per section 19(2) of the SCA. The use of these funds is restricted as follows:

1. Recoveries of investor education and knowledge enhancement costs – recognized when the associated approved eligible costs are incurred.
2. Recoveries of Office of Economic Growth and Innovation costs – recognized when eligible costs are incurred.
3. Recoveries of technology and data capability operational expenses – recognized when eligible costs are incurred as “Recoveries of technology and data capability costs”. Recoveries of capital asset expenditures are initially recognized as deferred revenue under trade and other payables in the Statement of Financial Position and recognized in income on a systematic basis over the useful life of the capital asset. Refer to Note 20 for details on breakdown of recoveries of technology and data capability costs.

(j) Funds Held Pursuant to Settlements and Sanction Orders

OSC holds funds collected pursuant to settlement, sanction and disgorgement orders. OSC acts as a principal with respect to these funds, as it has primary responsibility for the administration and distribution of the amounts collected. The funds are reflected as restricted cash pursuant to settlements and sanction orders, trade and other receivable balances for amounts due from settlements and sanction orders and the associated current liability as deferred income in the Statement of Financial Position. Income is recognized for the recovery of third-party distributions associated with the deferred income requirements being fulfilled, in the Statement of Comprehensive Income (Loss) in the same period as the associated expense being incurred.

(k) Provisions

A provision is recognized when a present legal or constructive obligation results from past events, it is probable that an outflow of resources will be required to settle the obligation, and when a reliable estimate of the amount of the obligation can be made.

4. Financial Instruments Risks

The OSC is exposed to various risks in relation to financial instruments. The OSC's objective is to manage risks to acceptably low levels. The OSC's financial assets and liabilities by category are summarized in Note 3(a). The main types of risks related to the OSC's financial instruments are currency risk, interest rate risk, credit risk and liquidity risk. This note provides information about the OSC's exposure to these risks and the OSC's objectives, policies and processes for measuring and managing these risks.

Currency risk

The OSC's exposure to currency risk is minimal due to the low number of transactions denominated in currencies other than Canadian dollars.

Interest rate risk

The OSC's financial assets and liabilities are not exposed to significant interest rate risk due to their short-term nature. The OSC's cash, restricted cash pursuant to settlements and sanction orders, and funds restricted for CSA systems operations and redevelopment are held by Schedule I financial institutions. The bank balances earn interest at a rate of 1.90% (2025 – 1.90%) below the prime rate. The average rate of interest earned on bank balances for the year was 2.90% (2025 – 4.45%). A 25 basis points change in the interest rate would impact the OSC's operating surplus as follows:

(in thousands of dollars)	Impact on operating surplus	
	25 basis points increase in rates	25 basis points decrease in rates
Cash Balance	\$ 285	\$ (285)

Credit risk

The OSC is exposed to credit risk related to cash, restricted cash pursuant to settlements and sanction orders, funds restricted for CSA systems operations and redevelopment and trade and other receivables.

Schedule I financial institutions hold 100% of the OSC's cash, restricted cash, and funds restricted for CSA systems operations and redevelopment (2025 – Schedule I financial institutions held 100%). Deposits are guaranteed to a maximum of \$0.1 million (2025 – a maximum of \$0.1 million) by Canada Deposit Insurance Corporation. The remaining balance of financial assets are trade and other receivables. Given the nature of these counterparties, it is management's opinion that the credit risk exposure due to concentration is low. Trade receivables balances consist of a large number of debtors owing individually immaterial balances.

The remaining receivable balances are attributable to a small number of debtors which are material in aggregate or individually, and are receivable from:

- Funds restricted for CSA systems operations and redevelopment, to recover staff and occupancy costs and other charges incurred,
- Funds owing from settlements and sanction orders deemed collectable,
- Government of Canada for recovering Harmonized Sales Tax paid during the year.

Therefore, the OSC's exposure to credit risk is considered low.

The OSC maintains an allowance for credit losses. Therefore, the carrying amount of trade and other receivables generally represents the maximum credit exposure. The expected credit loss is not expected to have a significant impact on trade and other receivables. Collection efforts continue for trade and other receivables balances, including those that are captured in the allowance for credit loss.

The aging of trade and other receivables is as follows:

(in thousands of dollars)

2026	Note(s)	Current	Past due 31 to 60 days	Past due 61 to 90 days	Past due greater than 90 days	Total
Trade and other receivables		\$ 2,860	\$ 69	\$ 33	\$ 597	\$ 3,559
Allowance for credit losses		—	—	(6)	(439)	(445)
Total trade and other receivables	6	\$ 2,860	\$ 69	\$ 27	\$ 158	\$ 3,114

(in thousands of dollars)

2025	Note(s)	Current	Past due 31 to 60 days	Past due 61 to 90 days	Past due greater than 90 days	Total
Trade and other receivables		\$ 3,623	\$ 183	\$ 126	\$ 935	\$ 4,867
Allowance for credit losses		—	—	—	(671)	(671)
Total trade and other receivables	6	\$ 3,623	\$ 183	\$ 126	\$ 264	\$ 4,196

Reconciliation of allowance for credit losses is as follows:

(in thousands of dollars)	Note(s)	March 31, 2026	March 31, 2025
Opening balance		\$ 671	\$ 619
Current year provision		11	431
Written-off during the year		(237)	(379)
Closing balance	6	\$ 445	\$ 671

In 2026, after reviewing the collectability of trade and other receivables, \$0.2 million (2025 – \$0.4 million) of balances were deemed uncollectable and were written off, resulting in a reduction to the allowance for credit losses and a corresponding reduction of trade and other receivables for the same amount. The amount written off was charged to bad debt expense in prior years. The current year provision of \$0.4 million (2025 – \$0.7 million) resulted in \$0.1 million (2025 – \$0.4 million) charged to bad debt expense in 2026. Credit losses are calculated at an amount equal to the lifetime expected credit losses.

Liquidity risk

The OSC’s exposure to liquidity risk is low as the OSC has sufficient cash and access to a credit facility to settle all current liabilities. As at March 31, 2026, the OSC had a cash balance of \$154.9 million (excluding restricted cash) to settle current liabilities of \$33.8 million (excluding deferred income).

The OSC has a \$52.0 million credit facility to address any short-term cash deficiencies. Interest on the credit facility is charged at a rate of 0.5% below the prime rate. During the year, the OSC did not utilize the credit facility (2025 – nil).

The overall assessment of the OSC’s exposure to liquidity risk is low and remains unchanged from 2025.

5. Deferred Income Pursuant to Settlements and Sanction Orders

Deferred income pursuant to settlements and sanction orders arise from enforcement proceedings where monies from these settlements and sanction orders are to be set aside and allocated to third parties or for use by the Commission in accordance with section 19(2) of the SCA. Authorized uses defined in section 19(2) of the SCA, including such designated internal costs as approved by the Board, are further described in Note 3(i). Under OSC’s Whistleblower Program, whistleblowers may be eligible for awards of between 5% to 15% of total monetary sanctions imposed and/or voluntary payments made if their information leads to an administrative proceeding where these amounts total \$1.0 million or more. Whistleblowers will be paid out of restricted cash pursuant to section 19(2) of the SCA.

On September 1, 2025, OSC Rule 11 502 *Distribution of Amounts Received by the OSC under Disgorgement Orders and Payment of Related Administration Costs* and OSC Rule 11-503 (*Commodity Futures Act*) *Distribution of Amounts Received by the OSC under Disgorgement Orders and Payment of Related Administrative Costs* (together, the “Rules”) came into force. The Rules establish a framework for the distribution of amounts collected by the OSC under disgorgement orders to investors who have been directly harmed by the related misconduct.

The accumulated funds are held in a segregated bank account and earn interest at the monthly average bank prime rate less 1.90%. Funds are paid to harmed investors where practicable and possible to do so. The remaining funds are allocated as determined by the Board in accordance with the authorized purposes as set out in section 19(2) of the SCA.

As at March 31, 2026, the accumulated balance is determined as follows:

(in thousands of dollars)	March 31, 2026	March 31, 2025
Opening balance	\$ 113,215	\$ 122,977
Assessed during the year		
Contested Hearings	\$ 51,903	\$ 106,745
Settlements	958	435
	\$ 52,861	\$ 107,180
Less: Orders deemed uncollectible	(51,499)	(106,466)
Amount recorded from assessments in year	\$ 1,362	\$ 714
Add: Amounts received from previously deemed uncollectible orders	2,895	1,610
Interest	3,232	5,363
Less: Payments to		
Investor education and advocacy organizations	(2,475)	(9,619)
External collections firms	(372)	(393)
Whistleblowers	—	(147)
Harmed investors	(360)	(50)
OSC for recovery of investor education and knowledge enhancement costs	(4,604)	(4,077)
OSC for recovery of Office of Economic Growth and Innovation	(2,992)	(2,662)
OSC for recovery of technology and data capability	(628)	(501)
Closing balance	\$ 109,273	\$ 113,215
Represented by:		
Restricted cash pursuant to settlements and sanction orders	\$ 108,837	\$ 112,602
Trade and other receivables	436	613
	\$ 109,273	\$ 113,215

During the year, \$52.9 million (2025 – \$107.2 million) in settlements and sanction orders were assessed. \$1.4 million (2025 – \$0.7 million) was collected or deemed collectable and \$51.5 million (2025 – \$106.5 million) was deemed uncollectible. The OSC's average collection rate of settlements and sanction orders assessed during the year was 2.6% (2025 – 0.6%). The collection rate will vary each year, depending on the types of settlements and sanction orders issued by the Capital Markets Tribunal.

Deferred income pursuant to settlements and sanction orders funds of \$109.3 million (2025 – \$113.2 million) is comprised of \$108.8 million in cash (2025 – \$112.6 million) and \$0.4 million in receivables (2025 – \$0.6 million). Of the total settlements and sanction orders, no balance relates to disgorgements under the new Rules. After considering funds set aside for possible allocation to harmed investors, \$104.7 million (2025 – \$106.6 million) of the funds are available for use by the Commission for authorized uses defined in section 19(2) of the SCA. Of the \$104.7 million, a total of \$103.5 million (2025 – \$103.7 million) has been earmarked for authorized uses defined in section 19(2) of the SCA.

During the year, the Board authorized payments of \$11.4 million from funds held pursuant to settlements and sanction orders in accordance with section 19(2) of the SCA (2025 – \$17.4 million), of which no balance relates to disgorgements. Details on the categories of recipients of these payments are included in the table above.

6. Trade and Other Receivables

(in thousands of dollars)	Note(s)	March 31, 2026	March 31, 2025
Trade receivables		\$ 994	\$ 2,736
Other receivables		1,280	536
Allowance for credit losses	4	(445)	(671)
		\$ 1,829	\$ 2,601
Sanction and settlement order receivables		436	613
Interest receivable		341	395
Sales taxes recoverable		508	587
Total trade and other receivables	4	\$ 3,114	\$ 4,196

7. Funds Restricted for CSA Systems Operations and Redevelopment

The core CSA systems consist of the System for Electronic Document Analysis and Retrieval + (SEDAR+), the National Registration Database (NRD) and the System for Electronic Disclosure by Insiders (SEDI).

The OSC, in its role as DPA, collects, holds and administers the CSA systems surplus funds. User fees are charged to recover systems operations and redevelopment costs, which are used only for the benefit of CSA systems users. A CSA Systems Governance Committee (SGC), consisting of members of the four PAs, was established through an agreement that sets out a governance framework for management and oversight of the CSA systems and the external service provider who hosts and maintains the CSA systems.

Use of the surplus funds within the terms of the various agreements requires the approval of members of the SGC. Majority approval is required for all permissible uses of the surplus funds as outlined within the various agreements, with the exception of the following, which all require unanimous approval of the PAs:

- any financial commitments in excess of the lesser of (i) \$5.0 million and (ii) 15% of the accumulated surplus at such date,
- significant changes to the design of the systems, and
- any changes to system fees.

The 2026 financial results of the CSA systems operations and redevelopment are presented below. Assets include cash and cash equivalents of \$21.4 million (2025 – \$29.7 million) presented on the OSC's Statement of Financial Position. Assets also include intangible assets of \$124.8 million (2025 – \$135.8 million) and computer equipment of \$0.1 million (2025 – nil) primarily consisting of costs towards the redevelopment of the CSA systems.

Summarized Statement of Financial Position

As at March 31 (in thousands of dollars)	2026	2025
Assets	\$ 151,800	\$ 169,461
Liabilities	\$ 5,222	\$ 6,876
Surplus	146,578	162,585
Liabilities and surplus	\$ 151,800	\$ 169,461

Summarized Statement of Comprehensive Loss

For the year ended March 31 (in thousands of dollars)	2026	2025
Revenue	\$ 34,716	\$ 24,959
Expenses	50,722	46,411
(Deficiency) of revenues over expenses	\$ (16,006)	\$ (21,452)

Summarized Statement of Cash Flows

For the year ended March 31 (in thousands of dollars)	2026	2025
Net cash flows used in operating activities	\$ (3,382)	\$ (8,685)
Net cash flows (used in) from investing activities	(4,896)	14,210
Net (decrease) increase in cash position	(8,278)	5,525
Cash and equivalents, beginning of year	\$ 29,689	\$ 24,164
Cash and equivalents, end of year	\$ 21,411	\$ 29,689

For more information on the net assets held for CSA systems operations and redevelopment, see Note 3(j) and Note 17.

8. Leases

Lessee Accounting – Lease Liabilities and Right of Use Assets

The OSC's leasing activities, as a lessee, relate to a premise lease and office equipment leases.

The OSC entered into a premise lease on September 1, 2017, for a term of ten years, ending August 31, 2027. The lease contains two consecutive options to extend the term beyond August 31, 2027, each for a period of five years. The lease was approved by the Minister of Finance under section 28 of the *Financial Administration Act*, which required review of contingent liabilities inherent in the lease.

With the assignment of the OSC's premise lease to the MOI on April 1, 2024, an assessment concluded that the OSC continues to maintain control of the premise leased. The premise continues to be leased for the OSC's use and the lease term, payments, and related estimates remain unchanged. The OSC continues to work with the MOI to monitor incremental changes to the arrangement and implications to the OSC's accounting treatment.

The OSC entered into a lease agreement for office equipment (printers) as of April 30, 2025, for a term of five years ending April 29, 2030.

The tables below provide reconciliations of the right of use assets and lease liabilities for the year ended March 31, 2026:

(in thousands of dollars)

2026 – Right of use assets	Premise Lease(s)	Office Equipment Lease(s)	Total
COST			
Balance as at April 1, 2025	\$ 50,282	\$ 516	\$ 50,798
Additions – new contracts	—	155	155
Balance as at March 31, 2026	\$ 50,282	\$ 671	\$ 50,953
ACCUMULATED DEPRECIATION			
Balance as at April 1, 2025	\$ (16,959)	\$ (516)	\$ (17,475)
Depreciation expense	(2,684)	(31)	(2,715)
Balance as at March 31, 2026	\$ (19,643)	\$ (547)	\$ (20,190)
Carrying amount as at March 31, 2026	\$ 30,639	\$ 124	\$ 30,763

(in thousands of dollars)

2025 – Right of use assets	Premise Lease(s)	Office Equipment Lease(s)	Total
COST			
Balance as at April 1, 2024	\$ 53,951	\$ 511	\$ 54,462
Lease reassessment	(3,669)	—	(3,669)
Lease extension	—	5	5
Balance as at March 31, 2025	\$ 50,282	\$ 516	\$ 50,798
ACCUMULATED DEPRECIATION			
Balance as at April 1, 2024	\$ (14,275)	\$ (409)	\$ (14,684)
Depreciation expense	(2,684)	(107)	(2,791)
Balance as at March 31, 2025	\$ (16,959)	\$ (516)	\$ (17,475)
Carrying amount as at March 31, 2025	\$ 33,323	\$ —	\$ 33,323

(in thousands of dollars)

2026 – Lease liabilities	Premise Lease(s)	Office Equipment Lease(s)	Total
Balance as at April 1, 2025	\$ 37,244	\$ —	\$ 37,244
Additions – new contracts	—	155	155
Balance as at March 31, 2026	\$ 37,244	\$ 155	\$ 37,399
Increase(s) to lease liabilities – finance costs	\$ 1,247	\$ 4	\$ 1,251
Decrease(s) to lease liabilities – lease payments	(3,692)	(34)	(3,726)
Lease liabilities balance as at March 31, 2026	\$ 34,799	\$ 125	\$ 34,924
Non-current portion of lease liabilities	\$ 32,268	\$ 96	\$ 32,364
Current portion of lease liabilities	2,531	29	2,560
Lease liabilities balance as at March 31, 2026	\$ 34,799	\$ 125	\$ 34,924

(in thousands of dollars)

2025 – Lease liabilities	Premise Lease(s)	Office Equipment Lease(s)	Total
Balance as at April 1, 2024	\$ 42,554	\$ 97	\$ 42,651
Lease reassessment	(2,947)	—	(2,947)
Lease extension	—	5	5
Balance as at March 31, 2025	\$ 39,607	\$ 102	\$ 39,709
Increase(s) to lease liabilities – finance costs	\$ 1,329	\$ 1	\$ 1,330
Decrease(s) to lease liabilities – lease payments	(3,692)	(103)	(3,795)
Lease liabilities balance as at March 31, 2025	\$ 37,244	\$ —	\$ 37,244
Non-current portion of lease liabilities	\$ 34,799	\$ —	\$ 34,799
Current portion of lease liabilities	2,445	—	2,445
Lease liabilities balance as at March 31, 2025	\$ 37,244	\$ —	\$ 37,244

Lessee Accounting – Depreciation, Finance Costs, and Payments

The related right of use depreciation and interest charges are recorded on the Statement of Comprehensive Income (Loss) under the depreciation and finance costs expense line items, respectively. For the year ended March 31, 2026, depreciation and finance costs were \$2.7 million (2025 – \$2.8 million) and \$1.3 million (2025 – \$1.3 million), respectively.

For the year ended March 31, 2026, payments of lease principal and interest on the leases recorded as lease liabilities were \$3.7 million (2025 – \$3.8 million).

The following table sets forth the OSC's future aggregate undiscounted lease payments over the lease term:

(in thousands of dollars)	March 31, 2026	March 31, 2025
Less than one year	\$ 8,065	\$ 8,104
Between one and five years	32,226	32,417
More than five years	51,531	60,107
	\$ 91,822	\$ 100,628

The OSC had no office equipment leases that qualify as short-term leases in 2026 (2025 – nil). The OSC would recognize the lease payments associated with such office equipment leases as an expense on a straight-line basis over the lease term.

The OSC makes non-lease payments (i.e. common area maintenance, property tax, and insurance) on leased properties. For the year ended March 31, 2026, \$4.6 million (2025 – \$4.5 million) was recognized within occupancy costs in the Statement of Comprehensive Income (Loss). As of March 31, 2026, the OSC has not committed to leases with future cash outflows beyond those recognized and presented above.

Lessor Accounting

Lessor accounting is applicable in premise subleasing agreements where the OSC is the lessor. The one sublease arrangement to the CSA IT Systems Project Office is on a cost-recovery basis.

The OSC has classified the sublease with the CSA as an operating lease since the arrangement does not substantially transfer all the risks and rewards incidental to ownership of the underlying asset. Accordingly, the OSC recognizes income from the sublease within miscellaneous revenue on the Statement of Comprehensive Income (Loss). For the year ended March 31, 2026, sublease payments totaling \$0.2 million (2025 – \$0.2 million) were recorded for the operating lease.

The table below presents the OSC's expected aggregate undiscounted sublease payment receipts for operating and finance leases:

(in thousands of dollars)	March 31, 2026	March 31, 2025
Less than one year	\$ 234	\$ 228
Between one and five years	—	—
More than five years	—	—
	\$ 234	\$ 228

9. Property, Plant and Equipment

The table below presents the property, plant and equipment continuity schedule.

(in thousands of dollars)

2026	Office furniture and equipment	Network and computer equipment	Leasehold improvements	Total
COST				
Balance as at April 1, 2025	\$ 4,112	\$ 10,251	\$ 10,342	\$ 24,705
Additions	27	1,014	—	1,041
Disposals	—	(950)	(365)	(1,315)
Balance as at March 31, 2026	\$ 4,139	\$ 10,315	\$ 9,977	\$ 24,431
ACCUMULATED DEPRECIATION				
Balance as at April 1, 2025	\$ (2,583)	\$ (8,504)	\$ (8,380)	\$ (19,467)
Depreciation for the year	(226)	(843)	(243)	(1,312)
Disposals	—	945	—	945
Balance as at March 31, 2026	\$ (2,809)	\$ (8,402)	\$ (8,623)	\$ (19,834)
Carrying amount as at March 31, 2026	\$ 1,330	\$ 1,913	\$ 1,354	\$ 4,597

(in thousands of dollars)

2025	Office furniture and equipment	Network and computer equipment	Leasehold improvements	Total
COST				
Balance as at April 1, 2024	\$ 4,166	\$ 11,103	\$ 9,977	\$ 25,246
Additions	14	971	365	1,350
Disposals	(68)	(1,823)	—	(1,891)
Balance as at March 31, 2025	\$ 4,112	\$ 10,251	\$ 10,342	\$ 24,705
ACCUMULATED DEPRECIATION				
Balance as at April 1, 2024	\$ (2,410)	\$ (8,876)	\$ (8,136)	\$ (19,422)
Depreciation for the year	(238)	(1,436)	(244)	(1,918)
Disposals	65	1,808	—	1,873
Balance as at March 31, 2025	\$ (2,583)	\$ (8,504)	\$ (8,380)	\$ (19,467)
Carrying amount as at March 31, 2025	\$ 1,529	\$ 1,747	\$ 1,962	\$ 5,238

Assets under construction as at March 31, 2026, totaled \$0.2 million (2025 – \$0.6 million).

For the year ended March 31, 2026, the OSC disposed of \$1.3 million (2025 – \$1.9 million) of property, plant and equipment and realized a loss on disposal of \$0.4 million in 2026 and a nominal loss in 2025.

10. Intangible Assets

Intangible assets consist of assets with finite useful lives. Finite life intangible assets include assets such as purchased software and software enhancement and development. Amortization of intangible assets only commences once the software is available for use.

(in thousands of dollars)

2026	Purchased software	Software enhancement and development	Total
COST			
Balance as at April 1, 2025	\$ 3,343	\$ 31,517	\$ 34,860
Additions	22	2,305	2,327
Less: Disposals	—	(14,769)	(14,769)
Balance as at March 31, 2026	\$ 3,365	\$ 19,053	\$ 22,418
ACCUMULATED AMORTIZATION			
Balance as at April 1, 2025	\$ (3,300)	\$ (12,217)	\$ (15,517)
Amortization for the year	(38)	(9,775)	(9,813)
Disposals	—	14,769	14,769
Balance as at March 31, 2026	\$ (3,338)	\$ (7,223)	\$ (10,561)
Carrying amount as at March 31, 2026	\$ 27	\$ 11,830	\$ 11,857

(in thousands of dollars)

2025	Purchased software	Software enhancement and development	Total
COST			
Balance as at April 1, 2024	\$ 3,361	\$ 28,845	\$ 32,206
Additions	11	4,138	4,149
Less: Disposals	(29)	(1,466)	(1,495)
Balance as at March 31, 2025	\$ 3,343	\$ 31,517	\$ 34,860
ACCUMULATED AMORTIZATION			
Balance as at April 1, 2024	\$ (3,234)	\$ (6,260)	\$ (9,494)
Amortization for the year	(95)	(7,423)	(7,518)
Disposals	29	1,466	1,495
Balance as at March 31, 2025	\$ (3,300)	\$ (12,217)	\$ (15,517)
Carrying amount as at March 31, 2025	\$ 43	\$ 19,300	\$ 19,343

Software enhancement and development that are not yet available for use totaled \$5.2 million (2025 – \$3.3 million). No amortization has been taken on these assets. The intangibles amount transferred from under development to available for use totaled \$0.5 million (2025 – \$4.7 million).

For the year ended March 31, 2026, the OSC disposed of \$14.8 million of fully amortized intangible assets that are no longer in use (2025 – \$1.5 million).

11. Trade and Other Payables

(in thousands of dollars)	March 31, 2026	March 31, 2025
Payroll accruals	\$ 23,813	\$ 22,181
Trade payables	6,814	5,129
Other accrued expenses	225	771
Deferred revenue	376	303
	\$ 31,228	\$ 28,384

12. Pension Plans

(a) Public Service Pension Plan (PSPP)

All eligible OSC employees must, and members may, participate in the PSPP. The OSC's contribution to the PSPP for the year ended March 31, 2026, was \$10.0 million (2025 – \$9.1 million), which is included under salaries and benefits in the Statement of Comprehensive Income (Loss). The expected contributions for the plan for 2027 are \$11.0 million.

(b) Supplemental pension plans

The OSC has an unfunded supplemental defined benefit pension plans for full-time appointed current and former Chairs, Vice-Chairs, Chief Executive Officer, and Chief Adjudicator. These supplemental pension plans have no plan assets. The actuarial liability and the current service cost are determined by independent actuaries using the projected benefit method prorated on services and management's best estimate assumptions. The supplemental defined benefit pension plans are non-registered plans. The benefit payments are made by the OSC as they become due.

The OSC is responsible for governance of these plans. The OSC Board's Audit and Finance Committee assists in the management of the plans. The OSC uses external actuaries to provide a valuation of the pension obligation for the supplemental plans in accordance with the standards of practice established by the Canadian Institute of Actuaries.

Under the projected benefit method, the pension liabilities are the present value of benefits accrued in respect of service prior to the valuation date, based on projected final average earnings. The current service cost is the increase in the present value of the defined benefit obligation resulting from employee service in the current period. The current service cost, expressed as a percentage of pensionable earnings, will be stable over time if the demographic characteristics of the active membership remain stable from valuation to valuation. However, all other things being equal, the current service cost of an active membership whose average age rises between actuarial valuations will result in an increasing current service cost.

The supplemental pension plans expose the OSC to the following risks:

- Changes in bond yields – a decrease in corporate bond yields will increase the plans' liabilities.
- Inflation risk – in plans where the target benefit is not indexed, given that the pension offset amounts are linked to inflation, higher inflation will lead to lower liabilities. Conversely, for plans where the target benefits are linked to inflation, the OSC's liability increases when inflation increases.
- Life expectancy – the majority of the obligations are to provide benefits for the life of the members. Therefore, increases in life expectancy will result in an increase in the plans' liabilities.

During the year, there were no plan amendments, curtailments or settlements. The duration of all supplemental pension plans combined is approximately 10 years (2025 – 11 years).

(in thousands of dollars)	March 31, 2026	March 31, 2025
Defined benefit obligation, beginning of year	\$ 4,598	\$ 4,291
Current service cost	163	146
Interest cost	213	211
Benefit payments	(259)	(264)
Actuarial (gain)/loss on obligation	(211)	214
Defined benefit obligation, end of year	\$ 4,504	\$ 4,598

Actuarial assumptions

The significant actuarial assumptions used to determine the present value of the defined benefit obligation were as follows:

	March 31, 2026	March 31, 2025
Discount rate(s)	4.90%	4.60%
Inflation	2.00%	2.00%
Expected rate(s) of salary increase	0%	0%
CPP YMPE increase	2.50%	2.50%
Increase in Canada Revenue Agency limit (in thousands)	\$ 4	\$ 4

The assumptions for mortality rates are based on the 2014 Canadian Pensioners Mortality Public Sector Mortality Table (CPM2014-Public) and the CPM-B Improvement Scale with a size adjustment for monthly income of \$6,000 or more as at March 31, 2026.

Sensitivity analysis

Changes in the actuarial assumptions used have a significant impact on the defined benefit obligation. The following is an estimate of the sensitivity of the defined benefit obligation to a change in the significant actuarial assumptions (the sensitivity assumes all other assumptions are held constant):

	March 31, 2026	March 31, 2025
Discount rate increased by 0.5% (obligation will decrease by)	4.80%	5.00%
Discount rate decreased by 0.5% (obligation will increase by)	5.20%	5.50%
Life expectancy increased by 1 year (obligation will increase by)	3.10%	3.10%
Life expectancy decreased by 1 year (obligation will decrease by)	3.00%	3.00%
Inflation rate increased by 0.5% (obligation will increase by)	1.60%	1.30%
Inflation rate decreased by 0.5% (obligation will decrease by)	1.00%	0.70%

The OSC's pension expense relating to the supplemental pension plans for the year ended March 31, 2026, was \$0.4 million (2025 – \$0.4 million). The OSC expects to incur \$0.4 million in benefit payments relating to the supplemental pension plan during the next fiscal year.

13. Capital Management

The OSC maintains appropriate reserves within cash to support its operations in the event of revenue shortfalls and unanticipated expenditures, or to cover the discrepancy between timing of revenue and expenses.

The OSC has a \$52.0 million credit facility with a Schedule I financial institution to provide additional liquidity for short-term cash requirements. The credit facility was approved by the Minister of Finance as permitted by the SCA. The OSC is not subject to any externally imposed capital requirements.

14. Fees

The OSC's fee structure is designed to generate fees that recover the OSC's cost of providing services to market participants. The fee structure is based on the concept of participation fees, activity fees, and late filing fees.

Participation fees are based on the cost of a broad range of regulatory services that cannot be practically or easily attributed to individual activities or entities and are intended to serve as a proxy for the market participants' use of the Ontario capital markets.

Activity fees represent the direct cost of OSC staff resources expended in undertaking certain activities requested of staff by market participants.

Late fees represent fees applied to market participants for not filing required documents and/or paying their participation and activity fees on time.

Fees received are as follows:

(in thousands of dollars)	March 31, 2026	March 31, 2025
Participation fees	\$ 156,504	\$ 147,289
Activity fees	18,741	17,561
Late filing fees	4,551	4,611
	\$ 179,796	\$ 169,461

15. Salaries and Benefits

(in thousands of dollars)	March 31, 2026	March 31, 2025
Salaries	\$ 114,344	\$ 114,776
Benefits	14,265	13,949
Pension expense	9,976	9,096
Termination benefits	689	1,449
	\$ 139,274	\$ 139,270

16. Administrative

(in thousands of dollars)	March 31, 2026	March 31, 2025
Software subscriptions and services	\$ 12,307	\$ 11,364
Communications and publications	2,882	2,560
Miscellaneous expenses	1,112	939
Capital Markets Tribunal expenses	804	855
Training	700	773
Board regulatory and governance expenses	352	490
Bad debt (recovery)	(59)	431
Supplies	201	158
	\$ 18,299	\$ 17,570

17. Contingent Liabilities and Contractual Commitments

The OSC has committed to paying in full any liability with respect to CSA Systems operations and custody of the related surplus funds that arises as a result of wilful neglect or wilful misconduct on behalf of the OSC.

Under the agreements described in Note 7, the OSC, ASC, BCSC and AMF, as PAs, have committed to paying an equal share of any claim or expenses related to operation and redevelopment of the CSA Systems that exceed the surplus funds held.

In 2025 and 2026, there were no such claims or expenses. As described in Note 7, the OSC, in its capacity as DPA, is holding funds in segregated bank and investment accounts that may be used to settle claims and expenses relating to the operation and redevelopment of the CSA Systems.

Occasionally, the OSC is involved in legal actions arising from the ordinary course of business. Settlements from these actions are accounted for when they occur. The outcome and ultimate disposition of these actions cannot currently be determined. However, management does not expect the outcome of any legal actions, individually or in aggregate, to have a material impact on the OSC's financial position.

18. Related Party Transactions

(a) Funds restricted for CSA Systems operations and redevelopment

In the course of normal operations, the OSC performs certain corporate functions on behalf of the CSA Systems in its relationship as defined in Note 7. At March 31, 2026, \$0.9 million (2025 – \$0.5 million) was owed to the OSC. For more information, see Note 7.

(b) The Province of Ontario

In the course of normal operations, the OSC entered into the following transactions with the Province of Ontario:

The Ontario *Securities Act* states that when ordered to do so by the responsible Minister, the OSC shall remit to the Province of Ontario such surplus funds as determined by the Minister. In light of the fee model as described in Note 14 and the OSC's practice of setting fees periodically, the OSC is not required to make remittances of its surplus to the Consolidated Revenue Fund. Surpluses retained by the OSC are subject to appropriate terms and conditions to be agreed with the Minister.

Costs of non-pension benefits for eligible pensioners are paid by the Government of Ontario and are not included in the Statement of Comprehensive Income (Loss).

Certain payments to harmed investors from restricted cash pursuant to section 19(2) of the SCA are made through the Ministry of the Attorney General (MAG) via the Crown Law Office – Civil (CLOC) and Victims and Vulnerable Persons Division (VVPD). Payments are made to MAG from the OSC pursuant to forfeiture orders obtained by CLOC under the *Civil Remedies Act*.

(c) Compensation to key management personnel

Key management personnel are those individuals having authority and responsibility for planning, directing and controlling the activities of the OSC. The OSC's key management personnel consists of members of the Board of Directors, Chief Executive Officer, Chief Adjudicator and Executive Vice Presidents.

Board of Directors receive per diem remuneration for meeting attendance, related preparation and participation in quorums to advance regulatory or governance matters. The remuneration of key management personnel includes the following expenses:

(in thousands of dollars)	March 31, 2026	March 31, 2025
Short-term employee benefits	\$ 4,038	\$ 3,405
Post-employment benefits	619	545
	\$ 4,657	\$ 3,950

(d) The Ministry of Infrastructure (MOI)

As described in Note 8, OSC's premise lease was assigned to MOI in the prior year. During the year, total related party charges incurred were \$8.4 million (2025 – \$8.3 million). At March 31, 2026, there was nil owed by the OSC (2025 – nil). The corresponding premise lease liability is included in Note 8.

19. Third Party Distributions Pursuant to Section 19(2) of the SCA

(in thousands of dollars)	March 31, 2026	March 31, 2025
Investor education and advocacy organizations	\$ 2,475	\$ 9,619
External collections firms	372	393
Whistleblowers	—	147
Harmed investors	360	50
Third party distributions pursuant to s.19(2) of the SCA	\$ 3,207	\$ 10,209

20. Recoveries of OSC Costs Pursuant to Section 19(2) of the SCA

During the year, as described in Note 3(i), the OSC recorded recoveries within the Statement of Comprehensive Income (Loss) of eligible investor education and knowledge enhancement costs, Office of Economic Growth and Innovation costs, and technology and data capability costs from restricted cash pursuant to settlements and sanction orders.

The recoveries of OSC costs pursuant to section 19(2) of the SCA are comprised of the following totals:

(in thousands of dollars)	March 31, 2026	March 31, 2025
Recoveries of eligible investor education and knowledge enhancement costs	\$ 4,604	\$ 4,077
Recoveries of Office of Economic Growth and Innovation costs	2,992	2,662
Recoveries of technology and data capability costs	628	323
Total recoveries of OSC costs	\$ 8,224	\$ 7,062

The recoveries of eligible investor education and knowledge enhancement costs are presented as follows:

(in thousands of dollars)	March 31, 2026	March 31, 2025
Salaries and benefits	\$ 2,170	\$ 2,334
Professional services	1,152	668
Media campaign costs	984	668
Website and other technology costs	191	303
Investor Advisory Panel costs	107	104
	\$ 4,604	\$ 4,077

The recoveries of Office of Economic Growth and Innovation costs are presented as follows:

(in thousands of dollars)	March 31, 2026	March 31, 2025
Salaries and benefits	\$ 2,742	\$ 2,545
Professional services	207	77
Media campaign costs	43	40
	\$ 2,992	\$ 2,662

The recoveries of technology and data capability costs are presented as follows:

(in thousands of dollars)	March 31, 2026	March 31, 2025
Salaries and benefits	\$ 296	\$ 323
Professional services	332	—
	\$ 628	\$ 323

21. Accounting Pronouncements

Current period changes

The OSC has not adopted any new accounting standards or amendments in the current period.

Standards issued but not yet effective

The following new IFRS Accounting Standard, relevant to the OSC's financial statements, has been issued, but is not yet effective and has not been early adopted by the OSC.

IFRS 9 Amendments to the Classification and Measurement of Financial Instruments

In May 2024, the International Accounting Standards Board (IASB) issued amendments to IFRS 9 which clarify the timing of recognition and derecognition of financial assets and financial liabilities. The amendment will be effective for OSC's fiscal year beginning April 1, 2026. OSC is currently evaluating the effect of this amendment to the financial statements.

IFRS 18 Presentation and Disclosure in Financial Statements

In April 2024, the IASB issued IFRS 18 Presentation and Disclosure in Financial Statements, which will replace IAS 1 Presentation of Financial Statements, and will be effective for the OSC's fiscal year beginning April 1, 2027.

IFRS 18 introduces a defined structure for the presentation of the Statement of Comprehensive Income (Loss), including required totals and subtotals, as well as aggregating and disaggregating principles to categorize financial information. The standard also requires certain management-defined performance measures to be disclosed in the notes to the financial statements.

The OSC is working to identify the impacts IFRS 18 will have on the OSC's financial statements.

22. Subsequent Events

Subsequent to March 31, 2026, OSC commenced negotiations to renew the existing office space lease. The discussions were initiated after the reporting date and, as the date of authorization of these financial statements, no final agreement has been executed. Accordingly, this is considered a non-adjusting subsequent event, and no amounts have been recognized or adjusted in the financial statements.

Based on preliminary discussions and currently available information, the lease liability is expected to increase by \$18.8 million upon finalization of the lease modifications. This estimate remains subject to change pending execution of a final agreement.

The logo for the Ontario Securities Commission (OSC) consists of the letters "OSC" in a bold, sans-serif font, enclosed within a white square.

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